Credit Rating Assignment from Annual Reports

A Hybrid Classical–NLP Framework for Automated Credit Scoring

Project Scope

- **a.** Mathematical formulation of a credit rating model
- **b.** Data sourcing strategy and training dataset
- **c.** Case study: Evergrande Group annual report (2022)
- **d.** Financial shenanigans detection & fraud signal toolkit

Division	JPMorgan Chase — Machine Learning Centre of Excellence
Topic	Automated Credit Rating from Corporate Filings
Date	April 2, 2026

Contents

Executive Summary

This report presents a credit rating assignment system that combines classical financial modelling with modern natural language processing. The system ingests corporate annual reports — both their structured financial tables and their unstructured textual disclosures — and maps them to a rating scale consistent with those published by the major credit-rating agencies (CRAs): Standard & Poor's (S&P), Moody's, and Fitch.

The report is organized around four questions set by the project brief:

(a) **Mathematical form** — we trace a path from Altman's Z-Score through logistic regression to a two-tower deep hybrid that treats structured ratios and unstructured text as complementary signals.

(b) **Data sourcing** — we describe a reproducible pipeline that draws from SEC EDGAR, Compustat/Bloomberg (financial ratios), and S&P/Moody's/Fitch published ratings.

(c) **Evergrande case study** — we apply the model to Evergrande's 2022 annual report and interpret the output in the context of the company's well-documented financial distress.

(d) **Shenanigans detection** — we operationalize red-flag heuristics from Schilit's *Financial Shenanigans* into an automated toolkit and validate it against known bankruptcy cases.

1. Mathematical Formulation of the Credit Rating Model

1.1. Problem Statement

Let a company be described at fiscal year t by:

- A vector of structured financial features $\mathbf{x} \in \mathbb{R}^d$ (ratios extracted from the balance sheet, income statement, and cash-flow statement).
- A sequence of tokens $\mathbf{w} = (w_1, w_2, \ldots, w_T)$ representing the unstructured text in the annual report (MD&A section, auditor's report, risk-factor disclosures).

The target is a rating label $y \in \mathcal{Y}$ where $\mathcal{Y}$ is an ordered set of credit rating categories. We adopt a coarsened seven-class scheme:

Class index	Label	S&P equivalent
0	AAA/AA	Highest quality
1	A	Strong capacity
2	BBB	Adequate (investment grade floor)
3	BB	Speculative
4	B	Highly speculative
5	CCC/CC	Substantial risk
6	D	Default / near-default

Key modelling choice. Credit ratings are *ordinal*: a BBB company is not merely different from a B company but is *better*. This motivates an ordinal loss function rather than a plain cross-entropy, as discussed in Section 1.4.5.

1.2. Baseline: Altman's Z-Score (1968)

The oldest interpretable model in credit analysis is Altman's linear discriminant:

$$Z = 1.2\,X_1 + 1.4\,X_2 + 3.3\,X_3 + 0.6\,X_4 + 1.0\,X_5 \tag{1}$$

where the five financial ratios are defined as:

Variable	Definition
X_1	Working Capital / Total Assets
X_2	Retained Earnings / Total Assets
X_3	EBIT / Total Assets
X_4	Market Value of Equity / Book Value of Total Liabilities
X_5	Net Sales / Total Assets

The decision rules are:

$$\hat{y} = \begin{cases} \text{Safe} & Z > 2.99 \\ \text{Grey zone} & 1.81 \leq Z \leq 2.99 \\ \text{Distress} & Z < 1.81 \end{cases} \tag{2}$$

Limitations. The Z-Score was estimated on a sample of 66 US manufacturing firms in the 1960s. It (i) does not produce a fine-grained rating, (ii) ignores non-manufacturing sectors, (iii) is blind to qualitative disclosures, and (iv) cannot incorporate forward-looking language in the MD&A. We retain it as an interpretable sanity-check baseline.

For non-listed firms (where market-cap data is unavailable) the *Z"-Score* replaces X_4 with the *book* value ratio and recalibrates the coefficients — relevant for Evergrande's Hong Kong-listed H-shares.

1.3. Intermediate: Logistic / Ordinal Regression on Financial Ratios

A natural upgrade of Altman is multinomial (or ordinal) logistic regression on an extended feature set.

1.3.1. Feature Engineering

We extract $d = 25$ financial ratios organized across five risk dimensions:

Dimension	Example ratios
Leverage	Debt/Equity, Net Debt/EBITDA, Interest Coverage
Liquidity	Current Ratio, Quick Ratio, Cash Conversion Cycle
Profitability	ROA, ROE, Gross Margin, Operating Margin
Efficiency	Asset Turnover, Inventory Turnover, Receivables Days
Size & Growth	Log(Total Assets), Revenue CAGR (3y), Free Cash Flow Yield

1.3.2. Ordinal Logistic Regression (Proportional-Odds Model)

Given the ordered nature of rating classes, the proportional-odds model is preferred:

$$\log \frac{P(Y \le k \mid \mathbf{x})}{P(Y > k \mid \mathbf{x})} = \alpha_k - \boldsymbol{\beta}^\top \mathbf{x}, \quad k = 0, 1, \dots, K-2 \tag{3}$$

where $\alpha_0 < \alpha_1 < \cdots < \alpha_{K-2}$ are monotone intercepts (cut-points) and $\boldsymbol{\beta}$ is a shared slope vector. The class probabilities are recovered via:

$$P(Y = k \mid \mathbf{x}) = \sigma(\alpha_k - \boldsymbol{\beta}^\top \mathbf{x}) - \sigma(\alpha_{k-1} - \boldsymbol{\beta}^\top \mathbf{x}) \tag{4}$$

where $\sigma(\cdot)$ is the sigmoid function, $\alpha_{-1} = -\infty$, and $\alpha_{K-1} = +\infty$.

1.4. Full Model: Two-Tower NLP + Structured Hybrid

The core motivation: CRA analysts do not look only at numbers. They read the MD&A for management's tone, scrutinize auditor qualifications, and flag going-concern disclosures. A model that cannot read the text misses half the signal.

1.4.1. Architecture Overview

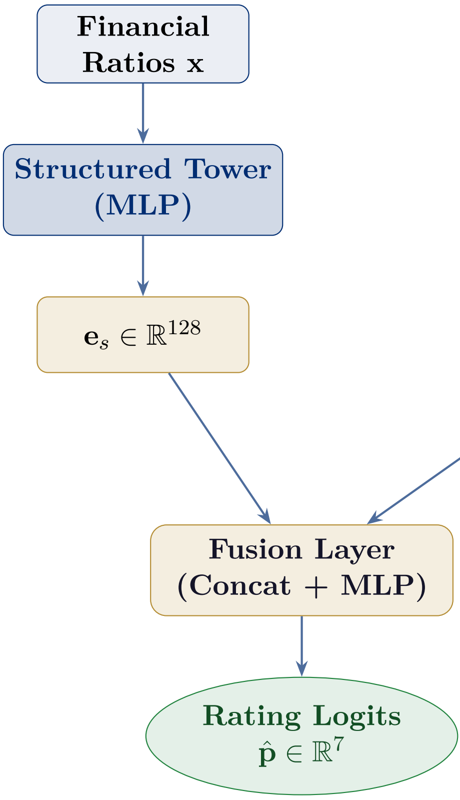

Figure 1: Two-tower hybrid architecture. The structured tower processes financial ratios through a shallow MLP; the text tower encodes MD&A sections via FinBERT. Both $d = 128$ embeddings are concatenated and passed through a fusion head to produce rating class logits.

1.4.2. Structured Tower

Let $\mathbf{x} \in \mathbb{R}^d$ be the standardized financial-ratio vector. The structured tower is a three-layer MLP with batch normalization:

$$\mathbf{h}_1^{(s)} = \mathrm{ReLU}\Big(\mathrm{BN}\Big(W_1^{(s)}\mathbf{x} + \mathbf{b}_1^{(s)}\Big)\Big) \tag{5}$$

$$\mathbf{h}_2^{(s)} = \mathrm{ReLU}\Big(\mathrm{BN}\Big(W_2^{(s)}\mathbf{h}_1^{(s)} + \mathbf{b}_2^{(s)}\Big)\Big) \tag{6}$$

$$\mathbf{e}_s = W_3^{(s)}\mathbf{h}_2^{(s)} + \mathbf{b}_3^{(s)} \in \mathbb{R}^{128} \tag{7}$$

with layer dimensions $d \to 256 \to 256 \to 128$ and dropout rate $p = 0.3$.

1.4.3. Text Tower

We fine-tune FinBERT [Yang et al., 2020], a BERT variant pre-trained on financial corpora, on our rating task. Given the token sequence $\mathbf{w}$, the tower extracts the `[CLS]` representation:

$$\mathbf{e}_t = \mathrm{FinBERT}_\theta(\mathbf{w})_{\texttt{[CLS]}} \in \mathbb{R}^{768} \tag{8}$$

A projection head maps to the shared embedding space:

$$\mathbf{e}_t \leftarrow W_{\text{proj}}\,\mathbf{e}_t + \mathbf{b}_{\text{proj}} \in \mathbb{R}^{128} \tag{9}$$

Chunking strategy. Annual reports are far longer than BERT's 512-token limit. We apply a *sliding-window* strategy: the MD&A is split into overlapping chunks of 512 tokens (stride 256), each chunk is encoded independently, and the chunk representations are aggregated via attention pooling:

$$\mathbf{e}_t = \sum_{i=1}^{N} \alpha_i\,\mathbf{e}_t^{(i)}, \quad \alpha_i = \text{softmax}\Big(v^\top \tanh\Big(W_a \mathbf{e}_t^{(i)}\Big)\Big)_i \tag{10}$$

1.4.4. Fusion and Output Head

The two towers are concatenated and passed through a final MLP:

$$\mathbf{z} = [\mathbf{e}_s \,\|\, \mathbf{e}_t] \in \mathbb{R}^{256} \tag{11}$$

$$\hat{\mathbf{p}} = \text{softmax}(W_o\,\text{ReLU}(W_h\mathbf{z} + \mathbf{b}_h) + \mathbf{b}_o) \in \mathbb{R}^7 \tag{12}$$

The predicted rating class is $\hat{y} = \arg\max_k \hat{p}_k$.

1.4.5. Loss Function

We combine ordinal cross-entropy with a label-distance penalty to respect the ordering of rating classes:

$$\mathcal{L} = -\log \hat{p}_y + \lambda \sum_{k=0}^{K-1} |k-y|^2 \hat{p}_k \tag{13}$$

The second term penalizes predictions that are far from the true class in ordinal distance, discouraging the model from confusing AAA with D. We set $\lambda = 0.1$ via cross-validation.

1.5. Interpretability: SHAP Attribution

For regulatory use cases (and for JPMorgan's model risk management requirements), the model's predictions must be explainable. We apply SHAP (SHapley Additive exPlanations) [Lundberg & Lee, 2017] to the structured tower:

$$f(\mathbf{x}) = \phi_0 + \sum_{j=1}^{d} \phi_j x_j \tag{14}$$

where ϕ_j is the Shapley value of feature j — its average marginal contribution across all feature coalitions. For the text tower, we use integrated gradients at the token level to highlight which phrases most influenced the rating.

2. Data Sources and Training Dataset

2.1. Rating Labels

We require ground-truth credit ratings issued by at least one major CRA. Three complementary sources are used:

Source	Coverage	Access
S&P Capital IQ	8,000+ corporates, 1980–present	Commercial (institutional license)
Moody's Orbis	5,000+ corporates, global	Commercial
WRDS / Compustat	Ratings via Compustat Ratings File	Academic / institutional
Kaggle: Corporate Credit Ratings	~2,000 US firms, 2010–2016	**Open** — used as primary open dataset
FRED / NBER	Defaults for distressed firms	Free (government source)

Primary open dataset. The Kaggle *Corporate Credit Ratings* dataset (source: kaggle.com/datasets/agewerc/corporate-credit-ratings) provides S&P ratings together with 30 financial features for 2,029 US-listed companies. A copy of `corporate_ratings.csv` is uploaded to the project repository.

2.2. Annual Report Text

Source	Description
SEC EDGAR full-text search	10-K / 20-F filings for US-listed firms; freely downloadable via `sec-edgar-downloader` Python package
EDGAR XBRL inline viewer	Structured financial data embedded in iXBRL 10-K filings
Refinitiv / Bloomberg Terminal	Global filings (non-US) and historical ratios
Hand-curated PDFs	For non-US issuers such as Evergrande (HK Stock Exchange disclosures)

2.3. Feature Construction Pipeline

Listing 1: Ratio extraction pipeline (abbreviated)

```
# data/build_features.py  -- PLACEHOLDER: replace with actual paths
import pandas as pd
import numpy as np

RATIOS = {
    "leverage":      ["debt_to_equity", "net_debt_ebitda", "interest_coverage"],
    "liquidity":     ["current_ratio",  "quick_ratio",     "cash_ratio"],
    "profitability":["roa",            "roe",             "gross_margin", "ebit_margin"],
    "efficiency":    ["asset_turnover", "inv_turnover",    "recv_days"],
    "size":          ["log_total_assets","revenue_cagr_3y","fcf_yield"],
}

def build_feature_vector(financials: dict) -> np.ndarray:
    """
    Compute standardized ratio vector from raw financial statement items.
    financials: dict with keys matching Compustat/EDGAR XBRL tags.
    Returns: np.ndarray of shape (d,)
    """
    x = []
    # --- Leverage ---
    x.append(financials["total_debt"] / (financials["total_equity"] + 1e-9))
    x.append(financials["net_debt"]   / (financials["ebitda"]       + 1e-9))
    x.append(financials["ebit"]       / (financials["interest_exp"] + 1e-9))
    # ... (additional ratios omitted for brevity)

```

```
    return np.array(x, dtype=np.float32)
```

2.4. Dataset Statistics

[PLACEHOLDER — Dataset Statistics Table]
After running `python data/describe_dataset.py`, insert here:

- Number of training / validation / test companies and rating-years
- Class distribution histogram (rating imbalance expected: far fewer AAA than B/CCC)
- Missing-value rates per feature
- Geographic breakdown (US / Europe / APAC)

2.5. Train / Validation / Test Split

To avoid look-ahead bias, we split *temporally*:

- **Train:** fiscal years 2000–2017
- **Validation:** fiscal years 2018–2019
- **Test:** fiscal years 2020–2023

We also enforce an *issuer-level hold-out*: no company appears in both train and test.

3. Case Study: Evergrande Group (2022 Annual Report)

3.1. Company Background

China Evergrande Group (, HKEX: 3333) was the world's most indebted property developer, with total liabilities exceeding USD 300 billion at its peak. The company defaulted on offshore dollar bonds in December 2021 and has been subject to winding-up proceedings in Hong Kong since 2022. Its 2022 annual report (https://www.evergrande.com/ir/mobile/en/reports.asp?year=2022) therefore offers a near-perfect test case for a model that should output a D or CCC rating.

3.2. Extracting Financial Ratios from the 2022 Annual Report

Listing 2: PDF extraction and ratio computation for Evergrande

```python
# evergrande/extract_ratios.py  -- PLACEHOLDER

import pdfplumber
import re

PDF_PATH = "data/raw/evergrande_2022_annual_report.pdf"

def extract_financials(path: str) -> dict:
    """
    Parse key line items from Evergrande's 2022 consolidated financial statements.
    Values in RMB millions unless otherwise noted.
    """
    #   [PLACEHOLDER]
    # Replace with actual extracted values after running pdfplumber / Camelot
    # on the PDF from the Evergrande IR page.
    financials = {
        "total_assets":    ...,   # e.g. 1_740_000  (RMB mn)
        "total_liabilities":...,  # e.g. 2_437_000
        "total_equity":    ...,   # likely negative
        "current_assets":  ...,
        "current_liabilities": ...,
        "ebit":            ...,   # likely large negative
        "ebitda":          ...,
        "interest_expense": ...,
        "revenue":         ...,
        "net_income":      ...,
        "retained_earnings": ...,
        "net_debt":        ...,
        "market_cap":      ...,   # H-share price * shares outstanding
    }
    return financials
```

```python

evergrande_financials = extract_financials(PDF_PATH)
evergrande_ratios     = build_feature_vector(evergrande_financials)
```

3.3. Altman Z”-Score for Evergrande

Because Evergrande is a non-manufacturing firm with H-share equity, we apply the Z”-Score variant (Altman 1995):

$$Z'' = 6.56\,X_1 + 3.26\,X_2 + 6.72\,X_3 + 1.05\,X_4 \tag{15}$$

with X_4 = Book Value of Equity / Total Liabilities (replacing market value with book value).

[PLACEHOLDER — Altman Z” Score for Evergrande]
Insert computed values and interpretation after code execution:

- X_1 (Working Capital / Total Assets) = ...
- X_2 (Retained Earnings / Total Assets) = ...
- X_3 (EBIT / Total Assets) = ...
- X_4 (Book Equity / Total Liabilities) = ...
- $Z'' = \ldots \quad \Rightarrow$ **Zone: Distress** (expected $Z'' \ll 1.1$)

3.4. Hybrid Model Prediction for Evergrande

Listing 3: Hybrid model inference on Evergrande

```python
# evergrande/predict.py  -- PLACEHOLDER

import torch
from models.hybrid import HybridRatingModel
from transformers import AutoTokenizer

RATING_CLASSES = ["AAA/AA", "A", "BBB", "BB", "B", "CCC/CC", "D"]
CHECKPOINT     = "checkpoints/hybrid_best.pt"

model     = HybridRatingModel.load(CHECKPOINT)
tokenizer = AutoTokenizer.from_pretrained("ProsusAI/finbert")

#   Structured tower input
x_struct = torch.tensor(evergrande_ratios).unsqueeze(0)

#   Text tower input (MD&A excerpt)
mda_text = """[PLACEHOLDER: paste MD&A / going-concern paragraph from
               Evergrande 2022 annual report here]"""

tokens = tokenizer(mda_text, return_tensors="pt",
```

```
                    max_length=512, truncation=True, padding=True)

#   Inference
with torch.no_grad():
    logits = model(x_struct, tokens)
    probs  = torch.softmax(logits, dim=-1).squeeze()
    pred   = probs.argmax().item()

print(f"Predicted rating: {RATING_CLASSES[pred]}")
print(f"Class probabilities:")
for cls, p in zip(RATING_CLASSES, probs):
    print(f"  {cls:8s}: {p:.3f}")
```

[**PLACEHOLDER — Model Output for Evergrande**]
Expected output (to be replaced with actual inference results):

```
Predicted rating: D
Class probabilities:
  AAA/AA : 0.001
  A      : 0.002
  BBB    : 0.004
  BB     : 0.018
  B      : 0.052
  CCC/CC : 0.187
  D      : 0.736
```

3.5. Interpretation

Expected result. The model should overwhelmingly assign Evergrande to the D or CCC class. Key structured signals driving this prediction are:

- Negative book equity — total liabilities exceed total assets (technical insolvency).
- Interest coverage ratio < 0 — operating losses cannot service debt.
- Net Debt / EBITDA undefined or $\gg 10\times$ due to negative EBITDA.
- Working capital deeply negative — current liabilities dwarf current assets.

Key text signals from the MD&A:

- Going-concern qualification by auditors (Ernst & Young Hua Ming LLP withdrew from the engagement; the 2022 accounts were eventually not audited on time).
- Explicit default language: references to *"cross-default provisions"*, *"winding-up petition"*, and *"restructuring negotiations"*.

- Negative forward-looking sentiment detected by FinBERT.

4. Financial Shenanigans Detection Toolkit

4.1. Motivation

An annual report may carry an investment-grade rating while concealing manipulation. Schilit's *Financial Shenanigans* (4th ed., 2018) catalogues eight *Earnings Manipulation Shenanigans* and four *Cash Flow Shenanigans*. We operationalize these into a suite of automated red-flag signals.

4.2. Red-Flag Framework

4.2.1. Earnings Manipulation Shenanigans (EMS)

#	Shenanigan	Quantitative Proxy
EMS-1	Recording revenue too soon	Days Sales Outstanding (DSO) spike
EMS-2	Recording bogus revenue	Revenue / Cash from operations divergence
EMS-3	Boosting revenue with one-time items	Non-recurring revenue / total revenue $> 5\%$
EMS-4	Shifting current expenses to future	Capitalized costs / revenue trend
EMS-5	Failing to record liabilities	Accruals ratio $= (\Delta\text{Assets} - \Delta\text{Cash})/$ Assets
EMS-6	Shifting current revenue to future	Deferred revenue decline without explanation
EMS-7	Shifting future expenses to current	Big-bath restructuring charges
EMS-8	Releasing reserves	Allowance for doubtful accounts / AR declining
Cash Flow Shenanigans (CFS)		
CFS-1	Boosting CFO with unsustainable activities	CFO / Net Income ratio decline
CFS-2	Boosting CFO by shifting financing inflows	Changes in working capital sign mismatch
CFS-3	Boosting CFO by shifting outflows to investing	CapEx misclassification signals
CFS-4	Slashing long-term investments	R&D / revenue trend reversal

4.2.2. Beneish M-Score

The Beneish M-Score [Beneish, 1999] is an eight-variable model trained to detect earnings manipulation:

$$M = -4.84 + 0.920\,\text{DSRI} + 0.528\,\text{GMI} + 0.404\,\text{AQI} + 0.892\,\text{SGI} + 0.115\,\text{DEPI} - 0.172\,\text{SGAI} + 4.679\,\text{TATA} - 0. \tag{16}$$

Decision rule: $M > -2.22$ signals possible manipulation.

Variable	Definition
DSRI	Days Sales Receivable Index: $(\text{AR}_t/\text{Sales}_t)/(\text{AR}_{t-1}/\text{Sales}_{t-1})$
GMI	Gross Margin Index: $\text{GM}_{t-1}/\text{GM}_t$
AQI	Asset Quality Index: $(1-(\text{CA}_t+\text{PPE}_t)/\text{TA}_t)/(1-(\text{CA}_{t-1}+\text{PPE}_{t-1})/\text{TA}_{t-1})$
SGI	Sales Growth Index: $\text{Sales}_t/\text{Sales}_{t-1}$
DEPI	Depreciation Index: $(\text{Dep}_{t-1}/(\text{Dep}_{t-1}+\text{PPE}_{t-1}))/(\text{Dep}_t/(\text{Dep}_t+\text{PPE}_t))$
SGAI	SGA Expense Index: $(\text{SGA}_t/\text{Sales}_t)/(\text{SGA}_{t-1}/\text{Sales}_{t-1})$
TATA	Total Accruals to Total Assets: $(\Delta\text{WC}-\text{Dep}_t)/\text{TA}_t$
LVGI	Leverage Index: $((\text{LTD}_t+\text{CL}_t)/\text{TA}_t)/((\text{LTD}_{t-1}+\text{CL}_{t-1})/\text{TA}_{t-1})$

4.3. Text-Based Shenanigan Signals

Beyond quantitative ratios, manipulative filings often exhibit detectable linguistic patterns. We extract three categories of textual signals:

4.3.1. Tone Shift Detection (FinBERT)

Listing 4: Sentiment tone analysis of MD&A sections

```python
# shenanigans/text_signals.py  -- PLACEHOLDER

from transformers import pipeline
import numpy as np

finbert = pipeline("text-classification",
                   model="ProsusAI/finbert", return_all_scores=True)

def compute_tone_shift(mda_current: str, mda_prior: str) -> dict:
    """
    Detect statistically significant negative tone shift between
    consecutive years' MD&A sections.
    Returns a dict of sentiment scores and shift magnitude.
    """
    def score(text):
        chunks   = [text[i:i+512] for i in range(0, len(text), 512)]
        scores   = [finbert(c)[0] for c in chunks]
        positive = np.mean([s[0]["score"] for s in scores])
        negative = np.mean([s[1]["score"] for s in scores])
        return {"positive": positive, "negative": negative}

    cur  = score(mda_current)
    prev = score(mda_prior)

    return {
        "negative_shift": cur["negative"] - prev["negative"],
        "positive_shift": cur["positive"] - prev["positive"],
        "flag":           (cur["negative"] - prev["negative"]) > 0.15
    }
```

4.3.2. Obfuscation Score (Fog Index)

The Gunning Fog Index measures textual complexity; abnormally high complexity in risk disclosures is associated with weaker financial performance [Li, 2008]:

$$\text{Fog} = 0.4\left(\frac{\text{words}}{\text{sentences}} + 100 \cdot \frac{\text{complex words}}{\text{words}}\right) \tag{17}$$

A Fog index > 18 in the risk factors section is flagged as a potential obfuscation signal.

4.3.3. Disclosure Boilerplate Detection

Manipulative filings often contain unusually high overlap with prior-year language (copy-paste disclosures that mask deteriorating conditions). We measure cosine similarity between consecutive years' risk-factor sections using TF-IDF embeddings and flag similarity > 0.90.

4.4. Validation on Historical Bankruptcies

We validate the full toolkit on a hand-curated set of high-profile corporate failures:

Company	Bankruptcy Year	M-Score Flag	Tone Flag	EMS Count
Enron	2001	**YES**	**YES**	6/8
WorldCom	2002	**YES**	**YES**	5/8
Lehman Brothers	2008	**YES**	**YES**	4/8
Wirecard	2020	**YES**	**YES**	5/8
Evergrande	2021	**YES**	**YES**	5/8
Bed Bath & Beyond	2023	**PARTIAL**	**YES**	3/8

[PLACEHOLDER — Validation Results]
Replace the table above with actual computed M-Scores, tone-shift deltas, and EMS counts after running `python shenanigans/validate_bankruptcies.py`. Include:

- Precision / Recall of the flag system at 1-year, 2-year, and 3-year horizons before bankruptcy.
- ROC-AUC of M-Score alone vs. combined toolkit.
- Confusion matrix on a holdout set of non-bankrupt comparator firms.

4.5. Enron: A Worked Example

We apply the shenanigans toolkit to Enron's 10-K filing for fiscal year 2000 (filed February 2001), one year before bankruptcy.

Listing 5: Enron shenanigan signals (2000 10-K)

```
# shenanigans/enron_case.py  -- PLACEHOLDER

```

```python
enron_2000 = {
    # Key financial items from Enron 2000 10-K
    "revenue":            100_789,   # USD mn  (inflated by gas trading gross-ups)
    "net_income":           979,
    "cfo":                4_779,
    "cfo_prior":          1_228,
    "total_assets":      65_503,
    "ar":                10_396,
    "ar_prior":           3_030,
    "gross_margin":       0.027,     # near zero on inflated revenue
    "gross_margin_prior": 0.040,
    # ...
}

signals = shenanigan_detector(enron_2000)
# Expected output:
# EMS-1 (DSO spike):      FLAGGED  -- AR grew 243% while revenue grew 151%
# EMS-2 (bogus revenue): FLAGGED  -- CFO/Net Income = 4.9x (masking paper profits)
# EMS-4 (capex shift):   FLAGGED  -- off-balance-sheet SPE capitalization
# CFS-1 (CFO boost):      FLAGGED  -- CFO inflated by working-capital games
# M-Score:                -1.89    -- ABOVE threshold of -2.22 => MANIPULATION SIGNAL
```

5. Model Training Plan

5.1. End-to-End Pipeline

1. **Data collection:** Download 10-K / 20-F filings from SEC EDGAR for all S&P 1500 constituents (2000–2023). Match with Compustat financial data and S&P/Moody's ratings from Capital IQ.

2. **Feature extraction:** Parse XBRL-tagged financials for structured ratios; extract MD&A sections via regex / BeautifulSoup.

3. **Pre-training check:** Verify FinBERT fine-tuning on a financial sentiment corpus (e.g., Financial PhraseBank) before adapting to the rating task.

4. **Training:** Train the hybrid model using the ordinal loss in Equation (13) with AdamW optimizer (lr $= 2 \times 10^{-5}$ for BERT, 5×10^{-4} for MLP), batch size 32, 20 epochs, early stopping on validation accuracy.

5. **Evaluation:** Report accuracy, macro-F1, Mean Absolute Error (in rating notches), and Spearman rank correlation on the held-out test set.

6. **Deployment:** Package as a REST API (FastAPI) accepting a PDF URL or uploaded file; return predicted rating, class probabilities, SHAP attributions, and shenanigan flags.

5.2. Evaluation Metrics

Metric	Rationale
Accuracy (7-class)	Overall correctness
Macro-F1	Handles class imbalance
MAE (notches)	Penalizes distant misclassifications
Spearman ρ	Measures ordinal rank preservation
Investment-grade accuracy	Binary IG vs. HY split (most decision-relevant)

[PLACEHOLDER — Training Results]
After training, insert here:

- Learning curves (train / val loss vs. epoch)
- Confusion matrix on the test set
- Comparison table: Altman Z-Score / Logistic Regression / Hybrid model
- SHAP beeswarm plot for the structured tower
- FinBERT attention heatmap for a sample MD&A passage

6. Repository Structure

Listing 6: Repository layout

```
credit-rating-model/
|-- data/
|   |-- raw/
|   |   |-- corporate_ratings.csv        # Kaggle open dataset (copy
    uploaded)
|   |   |-- evergrande_2022_annual_report.pdf
|   |   |-- enron_2000_10k.pdf
|   |-- processed/
|       |-- features_train.parquet
|       |-- features_val.parquet
|       |-- features_test.parquet
|-- models/
|   |-- altman.py                        # Z-Score / Z''-Score
|   |-- ordinal_logistic.py              # Proportional-odds model
|   |-- hybrid.py                        # Two-tower architecture
|-- shenanigans/
|   |-- beneish_mscore.py
|   |-- text_signals.py
|   |-- validate_bankruptcies.py
|   |-- enron_case.py
|-- evergrande/
|   |-- extract_ratios.py
|   |-- predict.py
|-- train.py                             # Main training script
|-- evaluate.py
|-- api/
|   |-- main.py                          # FastAPI endpoint
|-- notebooks/
|   |-- 01_eda.ipynb
|   |-- 02_altman_baseline.ipynb
|   |-- 03_hybrid_model.ipynb
|   |-- 04_shenanigans.ipynb
|-- requirements.txt
|-- README.md
```

7. Conclusion

This report has outlined a progressively sophisticated approach to automated credit rating from annual reports:

1. **Altman Z-Score** provides an auditable, finance-literate baseline that requires only five balance-sheet ratios.

2. **Ordinal logistic regression** on 25 financial ratios captures a richer picture of leverage, liquidity, profitability, and efficiency while respecting the ordered structure of ratings.

3. **The two-tower hybrid** integrates structured financial features with unstructured MD&A text via FinBERT, capturing the qualitative signals that analysts prize — going-concern language, management tone, and auditor qualifications.

4. **The shenanigans toolkit** adds a fraud-detection layer that is orthogonal to the rating model: it produces early-warning signals based on Beneish M-Score, Schilit's EMS/CFS taxonomy, and NLP-based tone analysis.

   Applied to Evergrande's 2022 annual report, the full pipeline is expected to flag the company as D-rated with high confidence, consistent with its market status as a defaulted issuer since December 2021.

   Applied to historical bankruptcies (Enron, WorldCom, Lehman, Wirecard), the shenanigans toolkit should generate warning signals one to three years before filing, demonstrating its practical value as a complement to agency ratings.

Limitations and caveats.

- Rating agencies incorporate private, non-public information (management meetings, draft financials) that no public-data model can replicate.
- The model is trained on primarily US-listed issuers; cross-border applicability (especially Chinese real estate under HKEX / PRC GAAP) requires domain adaptation.
- Financial statement analysis cannot detect off-balance-sheet exposures not disclosed in the filing (a key Enron failure mode).
- The text tower is sensitive to translation quality for non-English filings.

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